

Nien Made Enterprise (8464 TT)

 Target price: **TWD515.00** (from TWD515.00)

 Share price (12 Aug): **TWD391.00** | Up/downside: **+31.7%**

5 4 3 2 1


Buy
 (unchanged)

2Q26 results: record-high gross margin

- 2Q26 net profit missed on higher opex and tax
- Revenue momentum should heat up in 2H26 on capacity expansion
- Reaffirming our Buy (1) rating and unchanged 12M TP of TWD515

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What's new: Nien Made reported its 2Q26 results on 12 August 2026. We remain positive on the stock due to its leading industry position and see a higher market-share gain potential on top of its solid execution capability in the long term. We reaffirm our Buy (1) call (see our previous flash, [Intact 2026 outlook](#), 24 June 2026, for more information).

What's the impact: Record-high gross margin but headwinds caused by oil price hike and tax payment in China. Nien Made's 2Q26 revenue was TWD7,928m (+8.5% QoQ, +2.9% YoY), in line with our and the consensus estimates. Its gross margin was 60.0%, a record-high, up from 59.1% in 1Q26 and 59.2% in 2Q25, beating our estimate (59.4%) and the consensus estimates (59.5%) on price hikes in its custom-made segment with lower tariff. Its operating margin came in at 27.2%, down from 28.1% in 1Q26 and 31.1% in 2Q25, lower than our estimate (29.9%) and the consensus estimates (30.0%), due to surging fuel surcharges following the oil price hike in 2Q26. As such, operating profit was TWD2,160m (+5.2% QoQ, -9.8% YoY), missing our and the market consensus estimates by 7.6% and 9.9%, respectively. With a one-off retrospective tax payment in China, 2Q26 net profit stood at TWD1,391m (-15.6% QoQ, +20.7% YoY), missing our and the Bloomberg consensus estimates by 18.4% and 23.2%, respectively. Its 2Q26 EPS came in at TWD4.75.

Aiming to gain market share. Nien Made maintains its target of growing its custom-made revenue in the US by mid-single digit % YoY, custom-made in non-US markets by high-single digit % YoY, and ready-made revenue by low-single digit % YoY in 2026E. Nien Made expects its revenue momentum to continue in the following months, considering the ramping up of new capacity in northern Vietnam and Mexico. There should be some US tax refunds in 2H26. Nien Made will continue to invest in its window covering brands, channels and service network as well as manufacturing, which should be the key factor to drive the company to win more order shares in the long run, in our view. We trim our 2026-27E EPS by 2-4%, after factoring in 2Q26 results and more aggressive opex assumptions.

What we recommend: We reaffirm our Buy (1) call on Nien Made with an unchanged 12M TP of TWD515, still based on a target PER of 20x on our 1-year forward EPS vs. its past 3-year PER trading range of 11-21x. Key downside risks: lower-than-expected revenue from custom-made products and macro/tariff uncertainties.

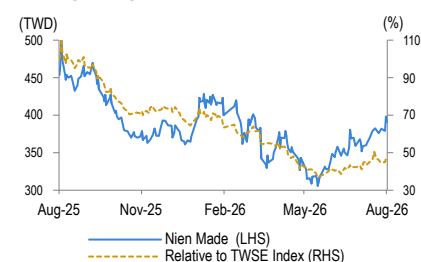
How we differ: Our 2026-28E EPS are 2-6% below the consensus, as we are slightly more conservative on its operating margins.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	1.4	1.4	1.4
Net profit change	(3.5)	(1.7)	2.0
Core EPS (FD) change	(3.5)	(1.7)	2.0

Source: Daiwa forecasts

Share price performance



12-month range	306.00-499.50
Market cap (USDbn)	3.55
3m avg daily turnover (USDm)	8.49
Shares outstanding (m)	293
Major shareholder	Nien family (44.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	32,157	34,082	36,161
Operating profit (m)	9,309	10,293	11,318
Net profit (m)	7,062	7,581	8,434
Core EPS (fully-diluted)	24.054	25.824	28.727
EPS change (%)	7.0	7.4	11.2
Daiwa vs Cons. EPS (%)	(5.5)	(4.5)	(1.7)
PER (x)	16.3	15.1	13.6
Dividend yield (%)	4.3	4.6	5.2
DPS	16.9	18.1	20.1
PBR (x)	3.5	3.2	3.0
EV/EBITDA (x)	9.4	8.3	7.4
ROE (%)	22.6	22.4	22.8

Source: FactSet, Daiwa forecasts

Nien Made: revisions to Daiwa's revenue and earnings forecasts

(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	32,157	31,719	1.4%	34,082	33,609	1.4%	36,161	35,651	1.4%
Gross profit	19,181	18,849	1.8%	20,381	20,031	1.7%	21,661	21,319	1.6%
Gross profit margin	59.7%	59.4%	0.2pp	59.8%	59.6%	0.2pp	59.9%	59.8%	0.1pp
Operating profit	9,309	9,650	-3.5%	10,293	10,352	-0.6%	11,318	11,123	1.8%
Operating profit margin	29.0%	30.4%	-1.5pp	30.2%	30.8%	-0.6pp	31.3%	31.2%	0.1pp
Net profit	7,062	7,320	-3.5%	7,581	7,712	-1.7%	8,434	8,266	2.0%
Net profit margin	22.0%	23.1%	-1.1pp	22.2%	22.9%	-0.7pp	23.3%	23.2%	0.1pp
EPS (TWD)	24.05	24.93	-3.5%	25.82	26.27	-1.7%	28.73	28.16	2.0%

Source: Company, Daiwa forecasts

Nien Made: 2Q26 results review

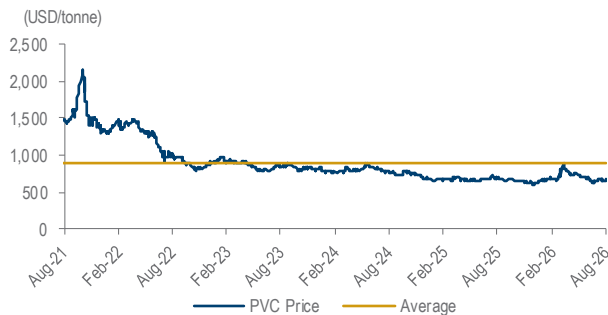
(TWDm)	2Q26 results	Daiwa forecast	Difference	Consensus	Difference
Revenue	7,928	7,809	1.5%	7,992	-0.8%
Gross profit	4,753	4,639	2.5%	4,753	0.0%
Operating profit	2,160	2,339	-7.6%	2,398	-9.9%
Pre-tax profit	2,190	2,451	-10.6%	2,539	-13.7%
Net profit	1,391	1,705	-18.4%	1,811	-23.2%
Basic EPS (TWD)	4.75	5.82	-18.4%	6.25	-24.0%
Margin					
Gross margin	60.0%	59.4%	0.6pp	59.5%	0.5pp
Operating margin	27.2%	29.9%	-2.7pp	30.0%	-2.8pp
Pre-tax margin	27.6%	31.4%	-3.7pp	31.8%	-4.1pp
Net margin	17.5%	21.8%	-4.3pp	22.7%	-5.1pp

Source: Company, Daiwa forecasts, Bloomberg

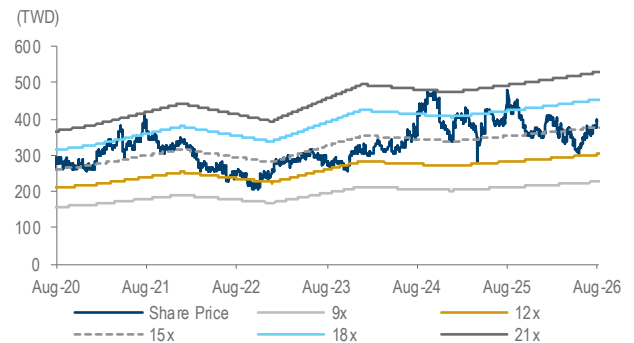
Nien Made: quarterly P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	7,305	7,928	8,704	8,220	7,600	8,300	9,200	8,982	32,157	34,082	36,161
Gross profit	4,317	4,753	5,188	4,924	4,507	4,955	5,520	5,399	19,181	20,381	21,661
Operating profit	2,053	2,160	2,638	2,458	2,057	2,450	3,015	2,771	9,309	10,293	11,318
Pre-tax profit	2,326	2,190	2,865	2,735	2,182	2,575	3,140	2,896	10,116	10,792	11,818
Net profit	1,647	1,391	2,054	1,970	1,524	1,810	2,224	2,023	7,062	7,581	8,434
Basic EPS (TWD)	5.62	4.75	7.01	6.72	5.20	6.18	7.59	6.90	24.10	25.87	28.78
Margin											
Gross margin	59.1%	60.0%	59.6%	59.9%	59.3%	59.7%	60.0%	60.1%	59.7%	59.8%	59.9%
Operating margin	28.1%	27.2%	30.3%	29.9%	27.1%	29.5%	32.8%	30.8%	29.0%	30.2%	31.3%
Pre-tax margin	31.8%	27.6%	32.9%	33.3%	28.7%	31.0%	34.1%	32.2%	31.5%	31.7%	32.7%
Net margin	22.5%	17.5%	23.6%	24.0%	20.1%	21.8%	24.2%	22.5%	22.0%	22.2%	23.3%
YoY											
Revenue	0.4%	2.9%	19.0%	7.1%	4.0%	4.7%	5.7%	9.3%	7.3%	6.0%	6.1%
Gross profit	2.0%	4.1%	20.7%	8.8%	4.4%	4.3%	6.4%	9.6%	8.8%	6.3%	6.3%
Operating profit	-1.3%	-9.8%	23.6%	6.5%	0.2%	13.4%	14.3%	12.7%	4.4%	10.6%	10.0%
Pre-tax profit	-1.3%	30.6%	20.6%	-2.5%	-6.2%	17.6%	9.6%	5.9%	9.8%	6.7%	9.5%
Net profit	-7.4%	20.7%	20.3%	0.3%	-7.5%	30.2%	8.3%	2.7%	7.0%	7.4%	11.2%
QoQ											
Revenue	-4.8%	8.5%	9.8%	-5.6%	-7.5%	9.2%	10.8%	-2.4%			
Gross profit	-4.7%	10.1%	9.1%	-5.1%	-8.5%	9.9%	11.4%	-2.2%			
Operating profit	-11.0%	5.2%	22.1%	-6.8%	-16.3%	19.1%	23.1%	-8.1%			
Pre-tax profit	-17.1%	-5.8%	30.8%	-4.5%	-20.2%	18.0%	21.9%	-7.8%			
Net profit	-16.1%	-15.6%	47.7%	-4.1%	-22.6%	18.8%	22.8%	-9.0%			

Source: Company, Daiwa forecasts

Global PVC price


Source: Bloomberg

Nien Made: 1-year forward PER


Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Ready-Made (TWDm)	9,438.1	8,974.9	6,728.3	7,383.8	7,192.6	7,192.6	7,192.6	7,192.6
Custom-Made (TWDm)	18,618.3	18,818.4	19,108.5	20,970.0	21,877.4	24,065.1	25,990.3	28,069.5
Others (TWDm)	976.6	1,158.1	1,076.5	1,181.4	899.1	899.1	899.1	899.1

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
America	21,190	22,042	19,049	20,897	20,639	21,671	22,754	23,892
Europe	6,456	5,358	5,945	6,653	7,454	8,572	9,430	10,373
Other Revenue	1,379	1,552	1,919	1,985	1,876	1,914	1,898	1,897
Total Revenue	29,024	28,951	26,913	29,535	29,969	32,157	34,082	36,161
Other income	0	0	0	0	0	0	0	0
COGS	(13,224)	(13,055)	(11,981)	(12,630)	(12,346)	(12,975)	(13,701)	(14,501)
SG&A	(7,869)	(8,324)	(7,780)	(8,366)	(8,551)	(9,679)	(9,884)	(10,125)
Other op.expenses	(178)	(205)	(182)	(172)	(155)	(193)	(204)	(217)
Operating profit	7,754	7,368	6,970	8,368	8,917	9,309	10,293	11,318
Net-interest inc./(exp.)	(7)	61	443	619	555	500	500	500
Assoc/forex/extraord./others	(288)	1,021	620	491	(256)	308	0	0
Pre-tax profit	7,459	8,450	8,033	9,477	9,215	10,116	10,792	11,818
Tax	(1,896)	(2,375)	(2,383)	(2,359)	(2,279)	(2,681)	(2,806)	(2,955)
Min. int./pref. div./others	(243)	99	(162)	(215)	(335)	(374)	(405)	(430)
Net profit (reported)	5,320	6,173	5,488	6,903	6,601	7,062	7,581	8,434
Net profit (adjusted)	5,320	6,173	5,488	6,903	6,601	7,062	7,581	8,434
EPS (reported)(TWD)	18.155	21.067	18.728	23.558	22.528	24.100	25.873	28.781
EPS (adjusted)(TWD)	18.155	21.067	18.728	23.558	22.528	24.100	25.873	28.781
EPS (adjusted fully-diluted)(TWD)	18.155	21.020	18.682	23.493	22.477	24.054	25.824	28.727
DPS (TWD)	11.000	11.000	12.000	14.500	16.000	16.870	18.111	20.147
EBIT	7,754	7,368	6,970	8,368	8,917	9,309	10,293	11,318
EBITDA	8,624	8,327	7,919	9,423	9,976	10,478	11,582	12,732

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	7,459	8,450	8,033	9,477	9,215	10,116	10,792	11,818
Depreciation and amortisation	870	959	949	1,056	1,059	1,168	1,289	1,413
Tax paid	(1,896)	(2,375)	(2,383)	(2,359)	(2,279)	(2,681)	(2,806)	(2,955)
Change in working capital	(1,332)	299	1,325	130	(447)	(352)	(377)	(395)
Other operational CF items	942	(408)	(1,041)	243	(496)	(500)	(500)	(500)
Cash flow from operations	6,043	6,924	6,882	8,547	7,052	7,752	8,400	9,382
Capex	(1,050)	(1,564)	(817)	(1,879)	(1,541)	(2,000)	(2,000)	(2,000)
Net (acquisitions)/disposals	4	90	11	11	142	0	0	0
Other investing CF items	(82)	(305)	687	(611)	(214)	0	0	0
Cash flow from investing	(1,129)	(1,778)	(119)	(2,478)	(1,613)	(2,000)	(2,000)	(2,000)
Change in debt	(2,100)	(2,817)	0	417	188	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(2,930)	(3,223)	(3,223)	(3,516)	(4,249)	(4,688)	(4,943)	(5,307)
Other financing CF items	(249)	(124)	(123)	86	(425)	0	0	0
Cash flow from financing	(5,279)	(6,165)	(3,346)	(3,014)	(4,486)	(4,688)	(4,943)	(5,307)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	(365)	(1,019)	3,417	3,055	953	1,064	1,456	2,076
Free cash flow	4,993	5,360	6,065	6,668	5,511	5,752	6,400	7,382

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	10,424	9,373	12,820	15,857	16,872	17,936	19,392	21,468
Inventory	4,625	5,718	4,104	4,066	3,678	4,021	4,164	4,450
Accounts receivable	2,993	2,402	2,624	2,865	3,045	3,193	3,424	3,612
Other current assets	1,320	1,742	1,671	1,773	1,909	1,909	1,909	1,909
Total current assets	19,363	19,236	21,219	24,560	25,504	27,059	28,888	31,438
Fixed assets	7,447	8,588	9,046	10,588	11,494	12,581	13,573	14,470
Goodwill & intangibles	105	326	171	78	250	250	250	250
Other non-current assets	2,479	2,403	2,175	2,632	2,778	2,778	2,778	2,778
Total assets	29,394	30,554	32,611	37,858	40,025	42,667	45,489	48,935
Short-term debt	2,817	0	0	402	571	571	571	571
Accounts payable	794	848	804	963	749	888	885	965
Other current liabilities	5,781	5,727	4,917	5,322	4,824	4,824	4,824	4,824
Total current liabilities	9,393	6,575	5,721	6,687	6,144	6,284	6,280	6,360
Long-term debt	0	0	0	402	530	530	530	530
Other non-current liabilities	2,102	2,196	2,460	2,689	2,941	2,941	2,941	2,941
Total liabilities	11,495	8,771	8,181	9,777	9,616	9,755	9,752	9,832
Share capital	2,930	2,930	2,930	2,930	2,930	2,930	2,930	2,930
Reserves/R.E./others	14,570	18,553	21,043	24,681	27,074	29,577	32,402	35,769
Shareholders' equity	17,500	21,483	23,973	27,611	30,004	32,507	35,332	38,699
Minority interests	399	300	457	470	405	405	405	405
Total equity & liabilities	29,394	30,554	32,611	37,858	40,025	42,667	45,489	48,935
EV	107,363	105,497	102,207	99,988	99,205	98,141	96,685	94,609
Net debt/(cash)	(7,607)	(9,373)	(12,820)	(15,053)	(15,771)	(16,834)	(18,291)	(20,366)
BVPS (TWD)	59.723	73.316	81.815	94.229	102.395	110.939	120.580	132.069

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	18.9	(0.3)	(7.0)	9.7	1.5	7.3	6.0	6.1
EBITDA (YoY)	11.5	(3.4)	(4.9)	19.0	5.9	5.0	10.5	9.9
Operating profit (YoY)	11.4	(5.0)	(5.4)	20.1	6.6	4.4	10.6	10.0
Net profit (YoY)	10.9	16.0	(11.1)	25.8	(4.4)	7.0	7.4	11.2
Core EPS (fully-diluted) (YoY)	10.9	15.8	(11.1)	25.8	(4.3)	7.0	7.4	11.2
Gross-profit margin	54.4	54.9	55.5	57.2	58.8	59.7	59.8	59.9
EBITDA margin	29.7	28.8	29.4	31.9	33.3	32.6	34.0	35.2
Operating-profit margin	26.7	25.4	25.9	28.3	29.8	29.0	30.2	31.3
Net profit margin	18.3	21.3	20.4	23.4	22.0	22.0	22.2	23.3
ROAE	32.4	31.7	24.1	26.8	22.9	22.6	22.4	22.8
ROAA	18.6	20.6	17.4	19.6	17.0	17.1	17.2	17.9
ROCE	37.6	34.7	30.2	31.4	29.5	28.4	29.1	29.4
ROIC	57.5	46.7	40.8	51.0	48.5	44.6	45.4	46.9
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	25.4	28.1	29.7	24.9	24.7	26.5	26.0	25.0
Accounts receivable (days)	36.2	34.0	34.1	33.9	36.0	35.4	35.4	35.5
Current ratio (x)	2.1	2.9	3.7	3.7	4.2	4.3	4.6	4.9
Net interest cover (x)	1,070.1	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	60.6	52.2	64.1	61.5	71.0	70.0	70.0	70.0
Free cash flow yield	4.4	4.7	5.3	5.8	4.8	5.0	5.6	6.4

Source: FactSet, Daiwa forecasts

Company profile

Founded in July 2007 and listed on Taiwan's main board in December 2015, Nien Made Enterprise (Nien Made) produces window coverings such as venetian blinds, shutters and shades (ie, cellular shades, roller blinds and roman blinds). Its major clients include dealers, designers and small specialty stores as well as big box retailers (ie, Home Depot and Wal-Mart).

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	2	Its CEO and Chairman is the same person. Also, 3 brothers, with 1 being the CEO (Chairman) and 2 being Vice President, are in charge of different divisions, managing and collaborating collectively, which we view as a positive sign for solid corporate governance.
	Capital management	2	Nien Made's dividend payout ratio was c.80% before 2019, but dropped to 52-71% from 2019 to 2025, which we attribute to its capacity expansion plans in Mexico and some adjustment for COVID-19.
	Related party & transaction	2	Revenue from related-party transactions stood at c.60% of total revenue over 2022-25, with majority from Norman International Inc. and its subsidiary. We see no evidence of suspicious activities.
E	Product design & lifecycle management	1	We note Nien Made has improved its quality, safety and efficiency throughout its product lifecycle. The company has developed its own B2B platform for its customers for a better user experience and efficiency. Nien Made's products have a lifespan ranging from 10 to 20 years. Therefore, in addition to controlling production conditions through equipment such as drying kilns and controlled-environment storage, Nien Made also focus on mitigating consumers' health and safety risks.
S	Supply chain management	2	Nien Made's overall local-to-local raw material sourcing was at 71% in 2023, which we believe will help reduce transportation costs in the long term. Moreover, Nien Made established supplier management policies and relevant regulations, and its 234 suppliers signed the Supplier Code of Conduct as of 2023.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 24 Jun 2026

Source: Daiwa, Company

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Rating	Percentage of total
Buy*	72.63%
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Source: Daiwa

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